SAP INTERNAL AND PARTNER USE ONLY

Development Fund Overview and Process Guide

January 2026

Version: <2.0>
Date: <2025-12-17>

Table of contents

Development Fund overview 3
Goal 3
Who is eligible 3
How funding requests are approved 4
How the process works 4
Considerations when submitting 4
How to submit a claim for completed requests 5
General policies 7
Adjustments to a request 7
What qualifies for a request adjustment 7
Cancelled and unexecuted request activities 8
Claims verification audit 8
Funds management, entry and eligibility requirements 8
The following applies for partners not meeting ongoing program requirements, including generic, track-specific, or business requirements. 9
Master vendor account requirement 10
Amendments to the Development Fund 10
Development Fund currency 10

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

Introduction

At SAP, our partners' success is paramount. We are fully committed to driving profitable partner business growth through our innovative SAP PartnerEdge program, designed to drive ongoing value delivery across the customer lifecycle, with our customers' success as our goal. This guide provides partners with an overview of the Development Fund, including processes, guidelines, general policies, and proper usage to optimize business outcomes from inception to completion.

Integrity and transparency constitute a cornerstone for the way in which SAP does business. SAP expects it's partners to do business in the same manner. SAP depends on partners who behave fairly, ethically, and correctly in all business activities. We thank you for making compliance and integrity a top priority as you work with SAP.

Development Fund overview

Goal

Development funds are investments designed to help eligible partners jump-start demand generation and deliver customer success through sales and services readiness. Funds are awarded based on go-to-market ambitions outlined in a proposal request for funds that aligns to your approved SAP business plan.

The focus of the Development Fund is to accelerate your business. It aims to provide you with the investments needed to generate new revenue from SAP cloud solutions, thereby strengthening your partnership with SAP and ensuring you are equipped with the right skills to successfully sell and develop SAP solutions.

Who is eligible

Partners in the SAP PartnerEdge Sell, Run, and Build partner tracks (see SAP PartnerEdge Program Guide for more details) are eligible to receive development funds once they fulfil applicable criteria set out by SAP for funds entry and eligibility in the DF Eligibility Guide (see the dedicated Development Fund page on the SAP Partner Portal for further details about availability, compliance requirements, eligibility, applying for funds and more).

How to request funding

There are two ways you can receive funding:

1. Funds partners have earned through the original MDF program (ended December 2024). Individual partners will be granted an Earned Development Fund balance in January of each year based upon that full years accrued contracts; the percentages for accrual are based on original regional and contract standards at time of earning. To access these earned development funds, a partner will need to submit a proposal request via Manage My Funds tool and also meet DF entry criteria.
2. When partners meet the eligibility requirements (DF Eligibility Guide), they can request new/additional discretionary development funds via a proposal request in the Manage My Funds tool.

Important: Earned Development Fund balances are allocated to proposal requests first before any supplemental Discretionary Development Funds can be allocated.

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

How funding requests are approved

Proposal requests will be reviewed and approved based on their alignment with your full-year partner business plan, SAP's strategic priorities, and the specific program goals and requirements. To be considered, you must provide a well-structured proposal request with details on the Development Fund eligible activities you want to execute. It is important that you include clear, measurable business outcomes, as detailed in the request form. Development Fund rules, reimbursement rates, and specific guidelines may vary according to region or priority.

Important: Completion of the Demand Generation module in a partner's annual business plan is a mandatory requirement for Demand Generation proposals.

Important: Deal registration usage will be monitored and reviewed as part of evaluating discretionary development fund proposal requests.

Partners in the Sell and Run tracks must submit a business plan during the recruitment phase to meet business requirements. A business plan outlines specific goals, including cloud-targeted revenue, planned consultant training activities, cloud kickoffs, and go-lives. An annual update to the business plan is required for partners in the Sell, Run, and Build tracks. Access the planning app on SAP Partner Portal to submit (or modify) your business plan. Partners without an up-to-date and approved SAP business plan will be denied access to certain partner benefits, including development funds.

How the process works

Please follow this end-to-end process to streamline your proposal request and claims submissions. SAP approval assumes partners strictly follow this process and the order of the steps detailed below. If you do not receive request approval before the start of the activity or do not submit your claims within the correct timeframe, you acknowledge that you will not receive reimbursement for that activity and any subsequent claim will be declined.

Important: Please see the table in this guide that includes specific dates for requests and claims submissions. Please note that deal registration usage will be monitored and reviewed as part of evaluating discretionary development fund proposal requests.

How to submit a request

Considerations when submitting:

The proposal request system will open annually in January on the first business day of the year. For important request submission dates, see the "Key timeframes and deadlines" table below.

It is recommended that partners submit a request at least one month before the start date of the first planned activity. Partners must also provide a well-structured request that includes clear, measurable business outcomes aligned with your full-year Partner Business Plan, SAP's strategic priorities, and the specific program goals.

For training on "***How to submit a request***", "***How to request a claim***", and "***How to check on the status of a request or claim***", go to Development Fund page on the SAP Partner Portal for details.

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

To submit a request, go to the Manage My Funds tool

This will bring you to the Manage My Funds proposal request form. This form allows you to inform SAP of the overall initiative that you are driving. This includes the purpose, impact, and set of activities you will use to drive the initiative. This is key information for SAP to be able to assess and prioritize your proposal request. In the proposal request form, you will list the set of activities, the investment amount for the activity, the impact, and the start date of each activity. Once completed, submit the proposal request form to be evaluated by SAP. For further details on categories and activities eligible for funding please check the dedicated Development Fund page on the SAP Partner Portal.

While SAP reviews the proposal request, the status will be labeled "Pending Approval." SAP will notify you when your request has been approved, rejected, or requires additional information. See the following request status scenarios:

I. Request is approved and shows an "Approved" status, after which you can proceed with activity execution.
II. Request does not meet requirements and shows a "Rejected" status.
III. Request requires more information to be approved and shows a "Pending Information" status. In this scenario, you will be asked to provide any missing details, or the request may be rejected. ***Important:*** You must provide the information requested within 60 days of the request for more information and resubmit the proposal, otherwise the proposal itself will time out. Additional documentation or explanations can be attached in the Notes section of the proposal request.

How to submit a claim for completed requests

You must submit a claim to get reimbursement for claimable costs incurred while performing an approved activity. Once the activities in the request have been executed, you can use the Manage My Funds tool to start the claim.

STEP 1:

Go to the Manage My Funds tool to submit claims online.

All claims require: the Development Fund request approval number, partner invoices, all third-party invoices, and proof of performance.

Further details on the claim submission process (including how to guides/videos) can be found in the Development Fund area of the SAP Partner Portal..

STEP 2:

Submit all required documents for claim approval, processing, and reimbursement:

- For all claims, electronically attach your third-party vendor invoices, along with required proof of performance.
- Mail a hard copy of all invoices to the local SAP finance team. Local rules apply. *
- Retain all your supporting documents for 10 years, starting on January 1 of the year following the year in

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

which the data were transmitted or transferred, or for the minimum period required by applicable law, whichever is longer.

- You may be asked to provide these for SAP verification process (for details, see the "Claims verification audit" section of this guide.)

  * Hard copy submission is required in certain countries. Please refer to SAP Partner Portal for more details.

STEP 3:

SAP will review each claim and either approve, reject, or request additional information (you have 60 days to respond to requests for additional information before the claim will time out). To expedite the claim settlement process, please follow the request and claims processes carefully.

STEP 4:

Upon claim approval, your local SAP subsidiary will reimburse you in the local currency; this will follow the standard practices in your respective country. The reimbursement may be made via bank transfer or applied as a general credit against your accounts receivable balance.

Important information on claims

Rejected claims: Claims that do not follow the Development Fund guidelines or claims process will be rejected, with partners receiving notification of the rejection and the reason. The corresponding funds will be deallocated or based on timing, may expire; and no further claims may be submitted for that same request.

Submitting value-added-tax (VAT) with claims (varies by country): When submitting a claim, provide all required invoices showing the net amount and VAT. The maximum claimable amount is the originally requested amount, or less, depending on the actual costs of the activity request. Regardless of where services were purchased, or the VAT declared on third-party invoices, reimbursement will be calculated on the net amount. However, for partner invoices, partners must add their own VAT as required by local tax laws for reimbursement of the VAT. Local country rules will apply.

Withholding reimbursement: SAP reserves the right to withhold reimbursement of funds or retract approved funds if a partner has an outstanding accounts payable balance with SAP or is not in compliance with SAP PartnerEdge Program guidelines. SAP reserves the right to deny reimbursement for any activity at its discretion.

Issuing reimbursement: SAP will not reimburse any external suppliers or vendors directly. All reimbursements for any costs partners incurred are issued solely to the partner. Partners are not permitted to deduct the amount of a claim from SAP invoices for products or services.

Who to submit claims to: The reimbursement of a claim (earned and/or discretionary) will only be made to a partner who has been allocated the development funds. The partner can only claim reimbursement from the SAP subsidiary in which it has a SAP PartnerEdge Program agreement. This is typically the local SAP affiliate in the country where the partner is located. For partners in the SAP PartnerEdge Build track, the correct SAP affiliate is **SAP Ireland Limited**, Waterside 3, Citywest Business Campus, Dublin 24, D24 WA02, Ireland.

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

Resources	Tips for success
People responsible for creating and submitting requests, and submitting claims will find everything they need to know in the e-learning modules on the SAP Partner Portal. At any stage of the process, you may contact your SAP Partner Manager for questions on such topics as fund allocation, campaign planning, activity execution, and timelines.	For requests, you must select from SAP approved activities, supported by measurable business outcomes, and aligned with a full-year Partner Business Plan documented in the SAP tool. For claims, your invoices must be clearly marked with the fund request number and show an itemized breakdown of costs. If you are unsure about an invoice format, refer to the guidance in the Development Fund area of the SAP Partner Portal.

Key time frames and deadlines for requests and claims

These guidelines streamline the process for completing activities and submitting proposal requests and claims for the program year. The proposal request system will open in January on the first business day of the year. All end dates refer to 23:00 GMT on the date advised.

Important dates for request and claim submissions:

Proposal Request Submission	Proposal Approval	Last Activity Date	Claim Submission Date	Claim Expiration	Request Information for Claim / Proposal
Program Start date – November 14	All proposals must be approved by November 14	December 14	90-days from last activity date or December 14 whichever is earlier	March 14 of following calendar year	60-days from information request the claim / proposal will expire if no response or claim expiration timeframe (if earlier)

Table. Proposal requests and claims submission deadlines.

General policies

Adjustments to a request

What qualifies for a request adjustment

Request adjustments may be made because of mergers or from a correction to the account. A correction will always reference the reason and be applied against a specific item. Partners may change the Activity Start

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

and End Date without resubmitting the entire proposal for approval. Partners have a 14-day grace period for altering Start/End dates of approved proposals. For adjustments beyond 14 days but within 60 days, please submit a ticket via the Partner Portal.

Eligibility: The 14-day grace period applies to proposals approved for at least 14 days.

Verification at Claim Stage: Ensure the activity was conducted within the approved timeframe. If not, confirm if the proposal was initially submitted correctly to identify past activities.

Execution Check: Confirm activities occurring after the proposed timeframe have been executed.

Cancelled and unexecuted request activities

If you have followed the required process and an activity is cancelled due to unforeseen circumstances, but costs have been incurred, you may still submit a claim for reimbursement of those costs. Any unclaimed discretionary development funds allocated for the unexecuted activities will no longer be available to the partner. To access funding for future initiatives, submit a new request within the specified request and claims deadlines. See "Key time frames and deadlines for requests and claims."

Claims verification audit

SAP reviews claims throughout the year to ensure thorough compliance with the Development Fund rules and guidelines. Please retain all your supporting documents and financial records on file, for 10 years, starting on January 1 of the year following the year in which the data were transmitted or transferred, or for the minimum period required by applicable law, whichever is longer.

All claims are subject to the SAP verification process. If SAP or an independent auditor elects to review these records on your premises, you are required to provide access. We recommend maintaining separate files for each claim so that the information can be easily provided upon request.

SAP may conduct any claims verification audit in accordance with this guide as well as carry out any other audits under your partner agreement with SAP. Claims verification audits do not count towards SAP's annual compliance audit; these audits are not considered annual SAP audits as envisaged under such agreement.

Possible results of a claims verification audit failure include:

- Suspension of access to your funds account.
- Possible repayment of claim amount to SAP.
- SAP Legal recommended remedial actions.

Funds management, entry and eligibility requirements

To be eligible for funds or reimbursement, your organization must meet the generic program entry and ongoing program requirements as detailed in the SAP PartnerEdge Program Guide.

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

The following applies for partners not meeting ongoing program requirements, including generic, track-specific, or business requirements.

Status	Access Funds	Request – New	Request – Maintain	Claim – New	Claim – Maintain
Operational	Yes	Yes	Yes	Yes	Yes
Under Review	Yes	No	No	No	No
Notified of Termination	Yes	Yes	Yes	Yes	Yes
In Termination	No Access	No Access	No Access	No Access	No Access
Terminated	No Access	No Access	No Access	No Access	No Access
Compliance Suspension	No Access	No Access	No Access	No Access	No Access

If your partnership is subject to SAP compliance controls which results in a permanent or temporary suspension, your access to funds will be removed for the period these controls are in place.

Any request for which a claim has not yet been submitted may be canceled after the expiry of any applicable remediation period relating to your SAP PartnerEdge contract.

Entry Criteria Overview

Access to and eligibility for development funds are managed globally based on objective criteria. Entry Criteria is the basic criteria required under the PartnerEdge Program for a partner to access the Manage My Funds system.

Criteria	Description	How to Resolve
Meeting Program Requirements	Partners must meet program requirements for eligible partner tracks (Sell, Run, and Build).	Resolve outstanding issues immediately with your SAP Partner Manager.
Valid Due Diligence	Manage due diligence information requests promptly as they may arise throughout your relationship.	Check your due diligence status in SAP for Me. Resolve outstanding issues immediately with your SAP Partner Business Manager.
Compliance Training	Required for partners in the Sell track. Minimum of two executives must complete the training.	Complete training course

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

Business Plan	An SAP approved business plan is a prerequisite for Development Fund eligibility. Funding proposals should reflect the tactics you have outlined in your business plan.	Details are included in the Business Planning section on the SAP Partner Portal. Access the Partner Business Planning app via SAP for Me.
Vendor Account	You must have a vendor account set up to be reimbursed for Development Funds.	If you do not have a vendor account set up, please submit the form.
DF Training	You must complete the DF Training	Complete the DF training prior to April 1st 2026

Eligibility Criteria Overview

Eligibility criteria are specific criteria that must be met to be able to request discretionary development funds from SAP. More details can be found on the dedicated Development Fund page in the SAP Partner Portal and the DF Eligibility Guide.

Master vendor account requirement

To receive reimbursement for Development Fund activities you must establish a master vendor account. This process requires you to complete a vendor request form, which is necessary for compliance with Sarbanes-Oxley regulations when exchanging confidential information (e.g. bank account details); your local SAP subsidiary will handle reimbursements directly .

Amendments to the Development Fund

In the event of any inconsistencies between this guide and the specific terms outlined in your SAP PartnerEdge agreement or other SAP reselling agreement, the terms of your SAP PartnerEdge agreement or other SAP reselling agreement shall take precedence. In the absence of such specific terms, this guide will be considered the primary source of information.

SAP can amend the Development Fund without the partner's consent if any of the following conditions are met:

- Principal obligations of the Development Fund remain substantially unaffected.
- Amendments are due to compulsory requirements of third parties, for which SAP is not culpably responsible.
- Amendments are in the interests of the partner—in that processes are improved, or services are more efficiently provided—without the partner incurring any major disadvantage; or SAP increases the scope of its Development Fund.

Development Fund currency

The default currency for partners is the currency related to the SAP local sales organization's subsidiary. Besides the default currency, it is possible to select a different currency. Note: This must be set up before the fund allocation is created and communicated up front to your SAP Partner Manager. If a different currency is selected, funds will be approved and reimbursed based on the selected country's currency.

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.

SAP performs the conversion from euros to other currencies using the official reference rate published by the European Central Bank (ECB). The previous day exchange rate can be found here: Euro foreign exchange reference rates. This amount does not include tax. In rare cases where there is no official ECB reference rate, we refer to the following (in order):

I. European Central Bank

II. Reuters (if no ECB reference rate)

III. XE (if no Reuters reference rate)

IV. OANDA (if no XE reference rate)

If a partner's third-party invoice is in a different currency from the local currency of the country where the claim is being made, please convert the invoice amount using the exchange rate on the claim submission date. The currency conversion should be done using the rates available at Euro foreign exchange reference rates.

Visit us on www.sap.com.

© 2025 SAP SE or an SAP affiliate company. All rights reserved. See Legal Notice on www.sap.com/legal-notice for use terms, disclaimers, disclosures, or restrictions related to this material.